

THE MEDTECH INDUSTRY

- **Imports rose by 17% in FY25**
- **40 device categories alone account for 85% of imports**
- **PLI for domestic manufacturing of medical devices has an outlay of ₹3,420 crore till FY28**
- **Out of 77 applications, 28 applications have been approved**

“The next phase of growth will require a stronger policy framework focused on innovation, advanced manufacturing and global competitiveness,” says Himanshu Baid, Managing Director of Polymedica Ltd, a device manufacturer. “A key priority is support for manufacturing and innovation through investments in advanced medical technologies, a stronger component ecosystem and incentives for R&D and technology commercialisation.”

Priority has been given to devices used in cancer treatment (linear accelerators and cobalt machines); imaging devices (MRI and CT scanners, mammography and ultrasound machines); cardiac devices (heart valves, drug-eluting stents and defibrillators); respiratory support devices (ventilators); dialysis machines for kidney care; and orthopaedic implants (knee and hip implants). “Locally made coronary stents, and knee and hip implants are 25-30% affordable without compromising on quality, safety, or clinical outcomes,” says Baid.

The parliamentary committee cited above, however, observed only 30% local content, indicating that a substantial proportion of components is still imported. Nath says the challenge is stark; imports rose 17% and exports stagnated in FY25. “India applies 160 HS codes (Harmonised System codes used in international trade to classify products) to medical devices but 40 HS codes account for 85% of imports,” he says. “Policy must focus on these 40 categories to maximise impact. The steps should include tariff rationalisation, preference to India-made devices, and clinical validation infrastructure to build trust in indigenous products.”

Baid says while most medical devices attract 5% GST, many inputs and job work services continue to be taxed at 18%, creating an inverted duty structure, blocking working

capital. Lowering GST on inputs and job work services to 5% in line with the pharmaceutical sector will improve cost competitiveness and support domestic manufacturing, he says.

THE OPPORTUNITY

“India’s opportunity is stronger than ever. Global healthcare systems are looking to build resilient and diversified supply chains, while Europe and other regions are exploring alternatives beyond traditional geographies. Indian MedTech companies that combine innovation, manufacturing excellence and global quality standards are well-positioned to benefit,” says Baid.

The industry says the government must encourage clustering to achieve economies of scale, simplify approvals and reduce overlaps between the regulator, the Central Drug Standard Control Organisation, and other agencies.

“A critical challenge lies in private healthcare procurement. Ethi-

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“With demand rising and the Make in India thrust, there is an opportunity to reduce import dependence and build global competitiveness. But this requires bold reforms”

RAJIV NATH
FORUM CO-ORDINATOR,
ASSOCIATION OF INDIAN MEDICAL
DEVICE INDUSTRY